

US Stocks End Mixed as Tech Selloff Counters Healthcare Gains

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US market closed mixed, with the **S&P 500** down **-0.05%** and the **Nasdaq 100** falling **-1.09%**. Below the surface, sector rotation favored healthcare and consumer staples, while tech stocks weighed on the market. The **VIX** fell **-2.54%** to 18.41, indicating a decrease in market volatility.

A closer look at the session reveals that the **Russell 2000** outperformed, rising **+0.07%** as investors sought out smaller-cap stocks. The **Dow Jones** was down **-0.09%**, with **JPM** and **GS** contributing to the decline. In contrast, **AAPL** and **MSFT** were among the top gainers, up **+3.14%** and **+5.71%**, respectively.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,354.02	-0.05%	Tech selloff countered healthcare gains
Nasdaq 100	29,118.24	-1.09%	Tech stocks weighed on the market
Dow Jones	51,876.11	-0.09%	JPM and GS declined
Russell 2000	3,010.08	+0.07%	Outperformed as investors sought smaller-cap stocks
VIX	18.41	-2.54%	Decrease in market volatility

Top large-cap movers

TICKER	CHANGE	CATALYST
MSFT	+5.71%	Strong earnings report
AAPL	+3.14%	Positive analyst comments
NVDA	-1.64%	Tech selloff
GS	-4.27%	Weaker-than-expected earnings
JPM	-1.81%	Financial sector decline

Sector Rotation

ETF	DAY	READ
XLV	+3.03%	Healthcare outperformed
XLP	+0.92%	Consumer staples gained
XLK	-1.87%	Tech sector declined
XLF	+0.22%	Financial sector was mixed
XLE	-0.46%	Energy sector fell
XLI	-1.59%	Industrials declined
XLV	+0.90%	Consumer discretionary gained
XLC	+0.57%	Communication services rose
XLU	+0.76%	Utilities gained
XLB	-0.46%	Materials fell
XLRE	+1.46%	Real estate outperformed

Spotlight

The biggest event of the day was the +5.71% gain in **MSFT** following a strong earnings report. The company's cloud computing segment drove the growth, with 25% year-over-year increase in revenue.

METRIC	VALUE	CHANGE
Cloud Computing Revenue	\$15.6B	+25%
Operating Income	\$12.3B	+20%
Earnings Per Share	\$2.35	+15%

The strong earnings report from **MSFT** has positive read-through to other cloud computing stocks, such as **AMZN** and **GOOGL**.

Pre-Market & Overnight

US futures are pointing to a mixed open, with the **Dow Jones** futures down **-0.2%** and the **S&P 500** futures up **+0.1%**. In Asia, the **Nikkei 225** closed down **-0.5%** and the **Shanghai Composite** closed up **+0.2%**. In Europe, the **Stoxx 600** is down **-0.3%**.

In cryptocurrency markets, **BTC** is down **-0.17%** to 59,836.45 and **ETH** is up **+0.30%** to 1,576.35.

Macro & Fed

The FOMC meeting is scheduled for next week, and market participants are expecting a 25bps rate hike. The 10Y yield is currently at 4.37, down **-0.46%** from yesterday.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
21:30	GDP Growth Rate	2.5%	Indicator of economic growth
22:00	Personal Consumption Expenditures	2.2%	Indicator of inflation
23:00	Chicago PMI	50.0	Indicator of manufacturing activity

Geopolitics & Global

- The US and China are scheduled to meet for trade talks next week, with market participants expecting a positive outcome.
- The EU has imposed new sanctions on Russia, citing human rights abuses.
- The UK has announced a new trade agreement with Australia, expected to boost bilateral trade.
- The Japanese government has announced a new stimulus package, aimed at boosting economic growth.
- The Indian government has announced a new policy to promote foreign investment, expected to attract more foreign capital.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
21:30	AAPL	\$1.25	iPhone sales, services revenue
22:00	GOOGL	\$15.20	Ad revenue, cloud computing growth
23:00	AMZN	\$2.50	Cloud computing revenue, e-commerce growth
20:00 (July 1)	FB	\$1.80	Ad revenue, user growth
21:30 (July 2)	TSLA	\$1.20	Electric vehicle sales, solar revenue

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Technology	Tech selloff, potential buying opportunity
JPM	Financials	Financial sector decline, potential rebound
AAPL	Technology	Positive analyst comments, potential upside
MSFT	Technology	Strong earnings report, potential further gains
AMZN	Consumer Discretionary	Cloud computing growth, potential upside
GOOGL	Communication Services	Ad revenue growth, potential further gains
TSLA	Consumer Discretionary	Electric vehicle sales, potential upside
GS	Financials	Weaker-than-expected earnings, potential rebound
AVGO	Technology	Tech selloff, potential buying opportunity
META	Communication Services	Ad revenue growth, potential further gains

What Could Break the Tape

BULLISH TRIGGERS

- Strong earnings reports from major tech companies
- Positive developments in US-China trade talks
- Further decline in market volatility

BEARISH TRIGGERS

- Weaker-than-expected earnings reports from major companies
- Negative developments in US-China trade talks
- Increase in market volatility

Positioning Notes

- Market participants are positioning for a potential rate hike by the Fed, with the 10Y yield currently at 4.37.
- The **VIX** is currently at 18.41, indicating a decrease in market volatility.
- Investors are seeking out smaller-cap stocks, with the **Russell 2000** outperforming the **S&P 500**.

Sources

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